GMS WEEKLY

Your Source for Recycling News

November 11th, 2022
Volume 244, Issue 1056
Week 45

Highlights:

- **Decline.**
- **Concerns.**
- **No approvals.**
- **Steel turn.**
- **Low USD 500s/LDT.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"You'll never get bored when you try something new. There's really no limit to what you can do."

– Cormac McCarthy

MARKET COMMENTARY

SHUTDOWN!

The decline of the sub-continent markets came into stark view once again this week, with even vintage tonnage being returned to trading lanes, such is the ineptitude and reluctance of collective sub-continent recyclers to commit on the paucity of any available units, at anywhere near sensible numbers.

Reliability and workable L/Cs remain a key concern for Cash Buyers and Ship Owners alike, with Bangladesh all but limiting new arrivals as the Central State bank refuses to sanction any fresh financing for ship recycling endeavors.

Reportedly, only essentials (such as food, fuel, and fertilizers) are able to procure Central State bank approval in Bangladesh, especially for the valuable reserves of U.S. Dollars that are budgeted for domestic expenses. This means that only a small number of Bangladeshi Buyers who have access to private funds are able to secure vessels for recycling at the moment.

Meanwhile, steel plate prices have been falling (more than firming) across the sub-continent markets and currencies have also depreciated astonishingly across all locations to record / historical lows and this is not giving Recyclers any confidence to offer up firm or even workable levels with any sort of certainty.

India remains perhaps the most reliable and performing of all markets, even though prices have come off significantly in Alang, and any available offers are tentative at best, coming in at the low USD 500s/LDT, levels that are now becoming an unfortunate reality of ship recycling today.

Pakistan is similarly low, with End Buyers (for the most part) keeping their eyes on competing markets before offering generally unworkable and depressed numbers.

Finally, after last week's dip in plate prices, Turkey remains suspended in 'airplane mode' with an additional dip in plate prices this week, and no activity reportedly taking place in Aliaga this week.

For week 45 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weak	540 / LDT	550 / LDT	560 / LDT
2	Pakistan	Weak	530 / LDT	540 / LDT	550 / LDT
3	Bangladesh	Weak	520 / LDT*	530 / LDT*	540 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

BANGLADESH

NON-ENTITY!

LC woes.

Chattogram remains a non-entity of a recycling destination, with most End Buyers unable to offer on vessels due to currently imposed L/C restrictions. Moreover, those that do have private financing available for vessel purchases, are mostly preferring to wait-and-watch in case of further market falls, rather than commit on an eventually un-affordable unit.

Even the smallest L/Cs of USD one million (and lower) are reportedly finding it challenging to get approval these days. As such, there is very little point in even testing Bangladeshi Buyers with tonnage, so dire are sentiments and permissions at present.

Quiet end.

There was no steel plate trading this week, but the Bangladeshi Taka weakened past BDT 103 against the U.S. Dollar, reminding Bangladeshi Recyclers just how volatile the currency is anymore.

Accordingly, it is sure to be a quiet end to the year for a subdued Bangladeshi market, with minimal vessels also incoming in port reports – as confirmed by this week's performance, where no new vessels arrived the waterfront.

NO MARKET SALES REPORTED

INDIA

HEADACHES!

Over recent times, the Indian Rupee has been the leading cause of headaches as the currency depreciated worryingly over Rs. 82 against the U.S. Dollar, only to have firmed up to Rs. 80.4X this week.

Over 80.

There have been very few sales to report (so worrying are prices) and obtaining any sort of reasonably firm offer has become a challenge unto itself, especially as fundamentals remain so shaky.

There has even been talk of numbers below USD 500/LDT (the first time we have seen talk of prices in the USD 400s/LDT for some time now) on less favoured, poor condition units - something that has steered Cash Buyers & Owners away from recycling markets at present, especially whilst freight rates remain decent across the board.

Steering clear.

NO MARKET SALES REPORTED

PAKISTAN

DISINTERESTED & DEPRESSED!

Lacking confidence.

Pakistan is a market lacking confidence at present, and that has shown with an almost total absence of firm offers this week.

Gadani's Performance has been in question for much of this year and this is also leading most Cash Buyers to avoid the Pakistani market given the opportunity, even for lower levels from competing markets.

Few vessels.

Fundamentals remain depressed and shaky as the Pakistani Rupee treads around PKR 260 against the U.S. Dollar, while local plate prices took in a tiny correction this week.

Adding to the local depression is a remarkable lack of candidates to work on, so it isn't surprising to see that all sub-continent markets remain so disinterested and depressed at present.

NO MARKET SALES REPORTED

TURKEY

ON IT GOES!

After last week's drop in import and local steel plate prices to the tune of USD 10/MT, the trend continued as both (import and local steel) reportedly registered an additional USD 10/MT drop this week as well.

Plate drops again.

Even the Lira continues to wobble and weaken by the week (down to TRY 18.6X against the U.S. Dollar), in what has been a catastrophic plummet by nearly 80% (from TRY 10) over the span of the last 12 months.

Mixed in with the ongoing utter lack of available tonnage, it's only a matter of time until yards start shutting down altogether and Aliaga becomes the only destination for large LDT EUSRR tonnage.

80% plummet.

NO MARKET SALES REPORTED

AMAZING FACTS

- *A woman called the police when her ice cream didn't have enough sprinkles. The West Midlands police in England released a recording of a woman who called 999 (the U.K. version of 911) because there were "bits on one side and none on the other," she says in the recording. She was even more upset when the ice cream truck man did not want to give her money back.*
- *Uncle Ben's rice was air-dropped to World War II troops. German chemist Erich Huzenlaub invented a process of parboiling rice to keep more nutrients in the rice and lessen the cooking time. The "Huzenlaub Process" had another unexpected benefit: It stopped bug infestations. The quick-cook, bug-free rice was a big advantage during World War II, and converted rice (as it was then known) was air-dropped to American and British troops. After the war, the company rebranded itself and became Uncle Ben's Original Converted Brand Rice, named after one of the company's best rice suppliers. The product hit grocery store shelves in 1947.*
- *South American river turtles talk in their eggs. Turtles don't have vocal cords, and their ears are internal, so scientists believed that turtles were deaf and didn't communicate through sounds. But research has found that turtles actually communicate at an extremely low frequency that sounds like "clicks, clucks, and hoots" that can only be heard through a hydrophone (a microphone used underwater). These sounds even come from the egg before the turtle hatches. Researchers hypothesize that this helps all the turtle siblings hatch at once.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
November 08 – Guru Nanak Jayanthi	November 06 – November 13 November 22 – November 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in November	November 06 – November 09 November 22 – November 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in November	**No holidays in November**	**No holidays in November**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of November 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Barge 27 (Under Tow)*	*16,325*	*Pipe Layer*	*Beached November 09*
2	Izhora	1,625	Dredger	Arrived November 11
3	*Kronshtadtskiy*	*1,854*	*Reefer*	*Beached November 09*
4	*Orient 1*	*18,138*	*Bulk Carrier*	*Beached November 11*
5	*Riviera*	*4,833*	*RoRo*	*Beached November 10*
6	Serenity (Under Tow)	2,828	Bulk Carrier	Arrived November 08
Total Tonnage		**45,603**		

CHATTOGRAM - Port Position as of November 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	*Farquhar 1*	*495*	*Fishing Vessel*	*Beached November 11*
3	*Fu Yi*	*8,317*	*General Cargo*	*Beached November 08*
4	*Full Always 168*	*390*	*Fishing Vessel*	*Beached November 11*
5	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
6	*Jina*	*1,711*	*Tanker*	*Beached November 06*
7	*Red Pearl*	*3,474*	*RoRo*	*Beached November 06*
8	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**47,919**		

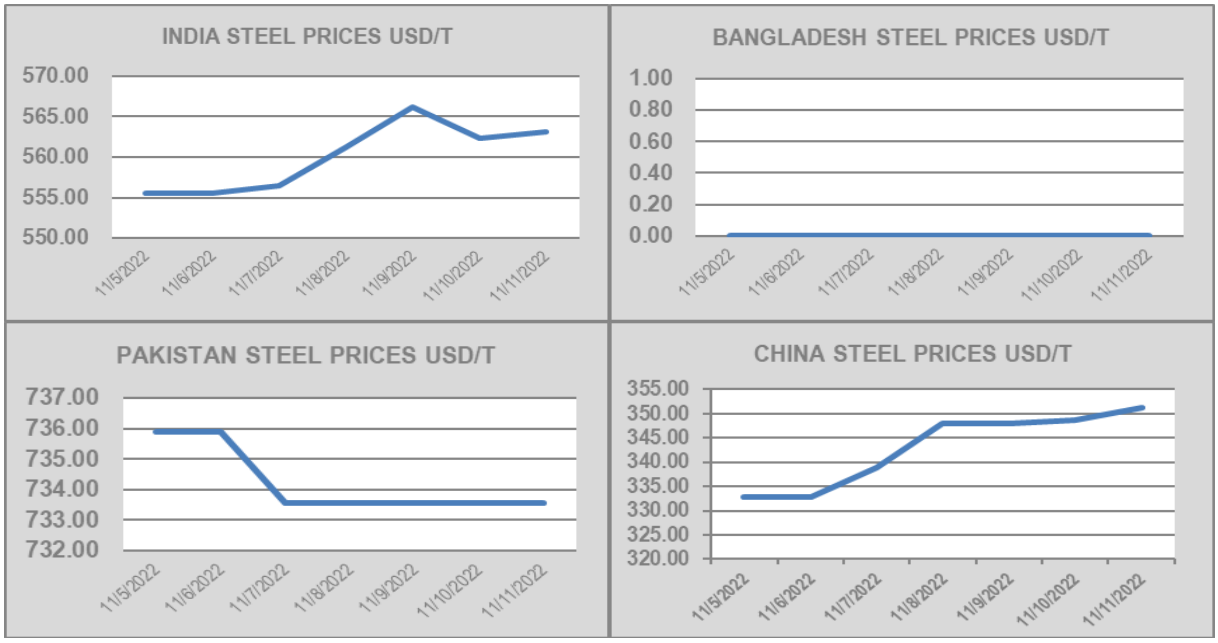
GADANI - Port Position as of November 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
11/5/2022	555.49	45,800.00	735.89	163,000.00	NO TRADING	NO TRADING	332.85
11/6/2022	555.49	45,800.00	735.89	163,000.00	NO TRADING	NO TRADING	332.85
11/7/2022	556.44	45,600.00	733.57	163,000.00	NO TRADING	NO TRADING	338.90
11/8/2022	561.32	46,000.00	733.57	163,000.00	NO TRADING	NO TRADING	347.89
11/9/2022	566.13	46,100.00	733.57	163,000.00	NO TRADING	NO TRADING	347.89
11/10/2022	562.28	46,000.00	733.57	163,000.00	NO TRADING	NO TRADING	348.65
11/11/2022	563.12	45,500.00	733.57	163,000.00	NO TRADING	NO TRADING	351.15



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311